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A few types of debt instruments are Corporate Bonds government Bonds, Company Debentures, and Treasury Bills in which the debt mutual fund will invest for you. Here also there are a lot of sub-categories, so to keep things simple I am discussing only a few of them that are suitable to most retail investors.

Type of Fund	Investment Instruments	Liquidity	Time Horizon	Risk of Default	Suitability
Liquid Funds	Debt Instruments with a maturity of up to 30 days.	Very liquid; 1-2 working days.	Short-term (< 1 year)	Least affected by interest rate risk.	Emergency funds, short-term goals.
Banking and PSU Debt Fund	Debt Instruments of government companies and big banks.	High liquidity	2-3 years	Low chance of default; highest credit rating.	Medium-term investment (2-5 years)
Corporate Bond Fund	80% investment in companies with the highest credit rating.	Moderate liquidity.	2-3 years	Little chance of default; examine credit rating.	Medium-term investment (2-5 years)
Target Maturity Funds	Passive debt mutual fund schemes tracking an underlying index.	Hold till maturity for desired result.	Long-term (5+ years)	Defined maturity dates; return may vary if sold early.	Long-term investment for specific goals.